

Introduction to Product Allocation

As I have argued and demonstrated in previous chapters, as individuals transition from wealth accumulation (converting their human capital) to income generation (spending their financial capital), they face unique and different risks that simply do not arise in the years prior to retirement. As a brief refresher, I review these risks before I introduce my main thesis regarding optimal product allocation for retirement income.

Longevity Risk

The National Center of Health Statistics reports that American life expectancy at birth has increased by about 15 years in the last 50 years alone. It is now estimated to be 75.2 years for males and 80.4 years for females. Of course, averages alone don't tell the entire story because when we actually reach our retirement years, the chances of surviving for another 20 to 30 years are quite substantial. I covered this all in great length in Chapter 7, "Longevity Is a Blessing and a Risk."

For instance a typical 65-year-old male has nearly a 46% chance of surviving another 20 years. A female's chances are even greater. One of every two 65-year-olds females alive today is estimated to survive to the age 85. Perhaps the most compelling of longevity statistics are the probabilities of survival for at least one member of a couple. For example, the chance that at least one member of a couple (where both are 65-years-old) survives to age 85 is 76%; the probability that one spouse or even both are alive at age 90 are one in two.

While individual lifestyle factors, behavioral habits, and family history will obviously impact any survival estimates, my main point is to remind the reader that human lifespan is random and a retirement strategy must—more so than ever before—account for this longevity risk.

Inflation Risk

The U.S. Federal Reserve is dedicated to ensuring that macroeconomic inflation is kept at acceptable levels. They do this by fine-tuning monetary policy so that the change in the Consumer Price